

DREAM WEA✓ERS

AML

Anti - Money Laundering



Objective

By the end of this course you will understand the following:

- What is Money Laundering
- Regulatory Framework
- Role of Insurers under IRDAI Guidelines
- Internal Policies Procedures & Controls
- Know Your Customer
- Risk Classification
- Source of Funds
- Identification & Monitoring of Suspicious Transactions
- Screening against designated individuals/entities and Sanctioned countries
- Reporting & Record Keeping
- Your Role

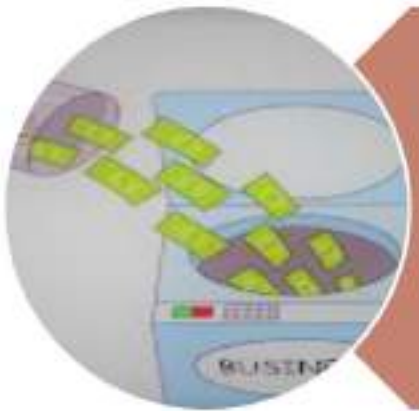


Stages of Money Laundering

Money Laundering is moving illegally acquired cash through financial systems, so that it appears to be legally acquired.



Placement – This step involves the initial introduction of criminal proceeds into the stream of commerce (**i.e. deposit funds derived from illegal activity into financial system**).



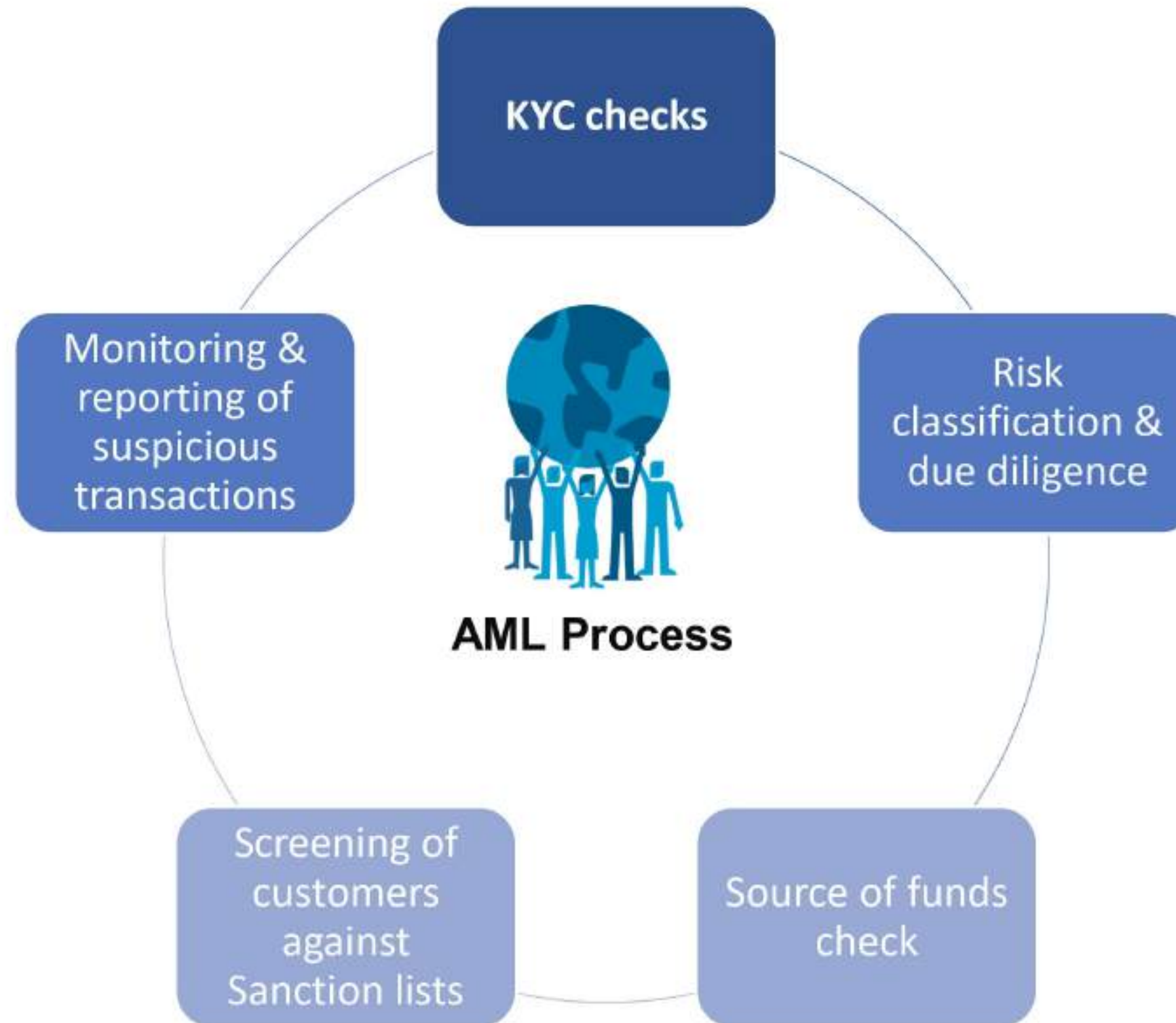
Layering – This step involves efforts to disperse the funds and give them an air of legitimacy. This can involve moving funds into different accounts/contracts in different locations. (**i.e. illegal proceeds used to open an account in bank or buying an insurance policy.**)



Integration – Integration occurs when laundered proceeds are no longer distinguishable from legitimate funds in the stream of commerce. At this point the laundered proceeds are distributed back to the criminal (**i.e. policy loans, policy surrender**).

Controlling Money Laundering

Any asset or value generated from an illegal act constitutes money laundering. It is not limited to drug dealers or organized crime.



Concerns & Implications

CONCERNS POSED BY MONEY LAUNDERING

- If funds from criminal activity can be easily processed through a particular institution /economy, it has reputation risk as it rewards corruption and crime and undermines democracy and the rule of the law.
- It is a damping effect on foreign direct investment when a country's commercial and financial sectors are perceived to be subject to the control and influence of organized crime.
- Most fundamentally, money laundering is inextricably linked to the underlying criminal activity that generated it. Laundering enables criminal activity to continue.
- Money laundering is one of the ways applied to fund terrorist activities

IF FOUND INVOLVED, THE COMPANY MAY

- Suffer civil, regulatory and criminal penalties in accordance with national and international laws.
- Suffer severe loss of reputation (and consequentially, customers)

Anti-Money Laundering Legislation

INDIAN CONTEXT

Prevention of Money Laundering Act (PMLA), 2002

Money laundering in India is governed by the provisions of the 'Prevention of Money Laundering Act, 2002'. In 2005 the laws were amended empowering 'The Insurance Regulatory and Development Authority of India (IRDAI)' to issue guidelines to the insurance sector.

Under IRDAI Guidelines on AML first issued in 2006 and amended time to time, all insurers have the responsibility to detect and report possible attempts of money laundering or financing of terrorism.

The Unlawful Activities (Prevention) Act (UAPA), 1967

UAPA is the legislation in India to deal with the implementation of the United Nations Security Council (UNSC) Resolutions. UNSC Resolutions (including UNSC 1267 and UNSC 1373) require member countries to take action against certain terrorists and terrorist organizations, take measures to combat international terrorism etc.

Section 51A empowers Government to freeze, seize or attach funds of and/or prevent entry into or transit through India any individual or entities that are suspected to be engaged in terrorism.

Accordingly, insurers are required to maintain an updated list of 'designated individuals/entities' (List of individuals and entities subject to UN sanction measures under UNSC Resolutions), screen persons prior to contract issuance or at the time pay-out (as applicable), run regular checks to determine whether designated individuals/ entities hold insurance policies and establish procedures for freezing of insurance policies of 'designated individuals/ entities'.

Legal Obligation under PMLA

PMLA AND THE RULES IMPOSE OBLIGATIONS ON:

- Banking companies
- Financial institutions
- Intermediaries or a person carrying on a designated business or profession.

To:

- Maintain records
- Furnish information
- Verify identity of clients

Appointment of Designated Director and Principal Officer:

- Every reporting entity shall communicate the name, designation and address of the Designated Director and Principal Officer to the Director, FIU-IND

Furnishing of information by the Principal Officer:

- Furnish the information referred to the Rules to the authorities, and retain copy of such information for the purposes of official record.



Reporting obligations

REPORTING OF CASH TRANSACTIONS

- All cash transactions of the value of more than rupees Ten Lakhs or its equivalent in foreign currency
- All series of cash transactions integrally connected to each other which have been valued below rupees Ten Lakhs or its equivalent in foreign currency where such series of transactions have taken place within a month
- CTR should be filed by the 15th day of the succeeding month

REPORTING OF SUSPICIOUS TRANSACTIONS:

- All suspicious transactions whether or not made in cash
- STR should be filed with FIU within 7 working days of being satisfied that the transaction is suspicious at the level of Principal Officer.
- Where Insurer forms a suspicion of money laundering or terrorist financing, it believes that performing the Client Due Diligence (CDD) will tip-off the customer, in such case insurer shall not pursue the Client Due Diligence, and instead file an STR with FIU-IND.

Due Diligence

Client Due Diligence (CDD)

CDD shall be done as per Section 9 of PML Rules wherein the insurer shall

- identify its clients, verify their identity, obtain information on the purpose and intended nature of the business relationship; and
- determine whether a client is acting on behalf of a beneficial owner, and identify the beneficial owner and take all steps to verify the identity of the beneficial owner:



Reporting obligations

Enhanced Due Diligence (EDD)

- Specifically apply Enhanced Due Diligence (EDD) measures, proportionate to the risks, to business relationships and transactions with natural and legal persons (including financial institutions) from countries for which this is called for by the FATF.
 - Enhanced Due Diligence as mentioned in Section 12AA of PML Act. shall be conducted for high risk categories of clients wherein insurer shall Verify the identity of the clients preferably using Aadhaar subject to the consent of customer
 - Verify the client through other modes/ methods of KYC as specified in Master Guidelines on Anti-Money Laundering/ Counter Financing of Terrorism (AML/CFT), 2022
 - Insurer shall examine the ownership and financial position, including client's source of funds commensurate with the assessed risk of customer and product profile.

Simplified Due Diligence (SDD)

- Simplified measures as provided under sub clause (d) of clause (1) of Rule 2 of PML Rules are to be applied by the insurer in case of individual policies, where the aggregate insurance premium is not more than Rs 10000/ - per annum
- Simplified Client Due Diligence measures are not acceptable whenever there is a suspicion of money laundering or terrorist financing or where specific high risk scenarios apply.
- The list of simplified due diligence documents are specified in sub clause (d) of clause (1) of Rule 2 of the PML Rules. These include but not limited to driving licence, Voter's Identity Card, job card issued by NREGA etc.

MEANING OF SUSPICIOUS TRANSACTIONS

Suspicious transaction means a transaction

- whether or not made in cash which, to a person acting in good faith –
- gives rise to a reasonable ground of suspicion that it may involve the proceeds of crime; or
- appears to be made in circumstances of unusual or unjustified complexity; or
- appears to have no economic rationale or bonafide purpose;



Related obligations

RECORDS CONTAINING INFORMATION FOR REPORTING PURPOSES:

- Nature of transaction
- Amount & currency of transaction
- Date of transaction
- Parties to transaction
- Manner as prescribed by the regulators (RBI/SEBI/IRDAI)
- Maintain & retain reported records as per latest applicable rules, acts, notifications and for a period of 5 years from cessation of transaction between client & reporting entities

CLIENT IDENTITY

- Verify identity of clients:
- Current and permanent address
- Nature of business
- Financial status
- Maintain & retain reported records for as per latest applicable rules, acts, notifications. 5 years from cessation of transaction between client & reporting entities
- Client Due Diligence (CDD), if required, should be carried out of the policyholders/beneficiaries/legal heirs/assignees including beneficial owner, if any, before making the pay-outs.



Anti-Money Laundering Legislation

GLOBAL FRAMEWORK

Office of Foreign Assets Control (OFAC)

The Office of Foreign Assets Control (“OFAC”) of the U.S. Department of the Treasury monitors and enforces UN Security Council economic and trade sanctions and U.S. specific sanctions that restrict Prudential and its affiliates from dealing with sanctioned countries, individuals, and entities.

Financial Action Task force (FATF)

FATF is an independent inter-governmental body at the core of global efforts to combat money laundering and terrorist financing with 39 members. India became a member of FATF in June 2010.

The FATF:

- Is recognized as the global anti-money laundering and counter-terrorist financing standard
- Develops and promotes policies to protect the global financial system against money laundering and terrorist financing
- Has made recommendations covering international cooperation, preventive measures, criminal justice and regulatory measures to counter money laundering and terrorist financing. They have been recognized, endorsed, or adopted by many international bodies and countries

Role of Insurer

- IRDAI guidelines states that it is the responsibility of the insurer to establish an anti-money laundering program that applies to an insurance company. Hence the responsibility for guarding against insurance products being used to launder unlawfully derived funds or to finance terrorist acts, lies on the insurance company, which develops and bears the risks of its products.
- Under the guidelines every Insurer :
 - Should have Internal Policies, Procedures & controls
 - Appoint a Designated Director
 - Appoint a Principal Officer
 - Train employees and agents on AML
 - To report certain transactions / clients to FIU-IND
 - To retain specified records for 5 years
 - Have Internal Control/Audit

Key AML focus points in policy life cycle

Breach of AML guidelines can happen at the following stages but not limited to :

- When money enters the system: Eg. Receipt of premium
- At policy servicing stage: Eg. Assignment (i.e. change of ownership)
- When money leaves the system: Eg. Payment of Claim/ Refund



- Know Your Customer (KYC)
- Recruitment and Training of Employees/Agents
- Monitoring and Reporting of Transactions
- Internal Control/Audit
- Record Keeping

Internal Policies, Procedures & controls

KNOW YOUR CUSTOMER (KYC)

- Insurers are required to make reasonable efforts to determine the true identity of all its customers. This is known as KYC.
- KYC can be of two types:
- Basic KYC: Check on the identity and residential address
- Document/s Required: ID proof + Address proof + Photograph
- Enhanced KYC: Basic KYC + check on the genuineness of “source of funds” Document/s Required: ID proof + Address proof + Photograph + Source of funds documents

	Customer Acceptance - Ensure that only legitimate and bona fide customers are accepted.
	Customer Identification - Ensure that customers are properly identified to understand the risks they may pose.
	Transactions Monitoring - Monitor customers accounts and transactions to prevent or detect illegal activities.
	Risk Management - Implement processes to effectively manage the risks posed by customers trying to misuse facilities.

Internal Policies, Procedures & controls

Know Your Customer (KYC)

We must verify the **true identity of all customers** (proposer, life assured, beneficiaries, legal heirs, nominee, beneficial owners – wherever applicable).

Eg. – The premium is paid by a person other than the proposer. Where the customer is a legal entity or a non individual, the Company shall also identify the beneficial owners of the customer who are natural persons as per premium thresholds

It is mandatory to verify and collect the following documents to establish the identity and address of the customer along with every proposal form : Photo ID Proof, Address Proof, Recent photograph. The salesperson is required to **attest the copies of the KYC** proofs submitted by the customer after viewing the original documents (Original seen & verified)

We should not enter into contracts with any person with known **criminal background** or with banned entities and those reported to have links with terrorists or terrorist organizations.

KYC checks are also required at the time of claims payout, assignment and in case changes that are inconsistent with the customers profile.

KYC process can be performed by any of the methods:

- Aadhar based KYC through Online Authentication subject to notification by the Government under section 11A of PMLA Or
- Aadhar based KYC through offline verification Or
- Digital KYC as per PML Rules Or
- Video Based Identification Process as consent based alternate method of establishing the customer's identity, for customer Or
- By using 'KYC identifier' allotted to the client by the CKYCR Or
- By using Officially Valid documents and,
- PAN/Form 60 (wherever applicable) and any other documents as may be required by the insurer



Internal Policies, Procedures & Controls

Know your Customer

Central KYC Records Registry” (CKYCR) means an entity defined under clause (ac) of sub rule (1) of Rule 2 of the PML Rules, to receive, store, safeguard and retrieve the KYC records in digital form of a customer which may be further used by the insurer. Sharing KYC information with Central KYC Registry (CKYCR) has been defined in Section 12 of Master Guidelines on Anti-Money Laundering/ Counter Financing of Terrorism (AML/CFT), 2022

After commencement of account based relationship with Client, electronic copy of the client's KYC records with CKYCR needs to be filed within 10 days. (both Individual/ Legal Entities).

Collect KYC of the group master policyholder/juridical person/legal entity, and the respective beneficial owners in case of all kinds of group Insurance. However, the Master Policyholders under the group insurance shall maintain the details of all the individual members covered, which should be made available as and when required.



E KYC (Electronic Know Your Customer)



- eKYC verification is done through digital mode . When organisation/agents verify a customer's identity and address digitally via Aadhar authentication.
- Consent (via OTP) of customer to be obtained for verifying identity
- Customer need not to provide any document (for Identity & Address proof) other than a passport size photo. When customer authorise to obtain his/her data electronically, UIDAI provides it with details such as Name, Gender, Date of birth, Complete Address and hence eKYC process become paperless
- Aadhaar Number (Last four digits) should be redacted.

Reliance on Third Party KYC

Under certain scenarios, the Company may rely on a third party as explicitly approved and agreed by the management, subject to the following conditions:

- The Company will receive copies of the KYC proofs along with the application form
- The Company will receive copies of identification data and other relevant documentation (KYC) along with application form, relating to the customer due diligence requirements from the third party
- The Company is satisfied that the third party is regulated, supervised or monitored for and has measures in place for compliance with customer due diligence and record- keeping requirements in line with the requirements and obligations under the Act
- The third party is not based in a country or jurisdiction assessed as high risk



Internal Policies, Procedures & controls

RISK CLASSIFICATION & DUE DILIGENCE



- Customers are classified into High and Low Risk based on the type of customer, business relationship, nature and value of transactions that affect overall money laundering and terrorist financing risks.
- Low Risk customers e.g.: Salaried, Government employees
- High Risk profile e.g.: Trusts, NGOs, NRIs, Politically exposed persons, High Net worth Individuals (customers purchasing policies with APE of Rs 1 lakh or above, wherein premium is received in cash and APE of Rs 1 lakh or above, wherein premium is received in other than cash)
- The nature and extent of due diligence to be conducted would depend upon the risk profile of the customer and in accordance with the Company's Underwriting Policy
- The Company will additionally develop procedures for identifying and applying relevant due diligence measures to PEPs. Appropriate on-going risk management procedures for identifying and applying enhanced due diligence measures on PEPs and customers who are family members, close relatives/associates of PEPs to be laid down. Also, establishing the source of wealth and the source of funds of customers and beneficial owners identified as PEPs. All proposals of PEPs will be approved by Head – Underwriting

SOURCE OF FUNDS

- Customer source of funds must be documented in all cases to determine that insurance is being purchased from legitimate sources and is reasonable
- Income proof documents should be collected for all cases where annual premium paid by a single customer $\geq$ Rs. 1 lakh. This includes premiums paid through top-ups
- PAN Card Copy is mandatory irrespective of premium amount. In case customer does not have PAN or has agricultural income- Form 60/61 as per Income Tax rules should be obtained. If he has applied for PAN – acknowledged copy of PAN application should be obtained



Internal Policies, Procedures & controls

MONITORING OF SUSPICIOUS TRANSACTIONS

The Company monitors and investigates potentially suspicious transactions.

Any employee that believes that customer behavior or a transaction is suspicious or is aware of receipt of counterfeit currency from a customer, must report the same to his/her Company Supervisor or to the Principal Officer for investigation.

Salespersons and Employees are prohibited from “tipping off” the customer with regard to any information/ suspicious activity reported about them to Company officials which may be further reported to FIU.

Guiding principles and alerts have been specified by various regulatory Authorities like IRDAI, FIU India etc. for insurers to rely on and perform transaction monitoring accordingly.



Screening Against Designated Persons/ Entities List and Country Sanctions

NEW PROPOSALS AND EXISTING CUSTOMERS

- The Company will screen all its Customers against various sanction list published by multiple Regulatory, Statutory Authorities and as specified in applicable internal policies prior to issuance of Contract, post issuance at payout stage and also as part of ongoing screening process.
- In case of a match against designated individuals/ entities, prior to issuance, the Company will reject the proposal and file a report the same to respective internal and external stakeholders.
- In case of match post issuance, the Company shall freeze the account of the customer without prior notice to the customer and do necessary reporting.

FATF STANDARDS DEFICIENT COUNTRIES

- In order to protect the international financial system from ML/FT risks and to encourage greater compliance with the AML/CFT standards, the FATF identifies jurisdictions that have strategic deficiencies and works with them to address those deficiencies that pose a risk to the international financial system
- Insurers are required to conduct detailed due diligence while taking insurance risk exposure to individuals/entities connected with such countries identified by FATF.



Reporting & Record Keeping

INSURERS HAVE TO SUBMIT THE FOLLOWING REPORTS TO THE FINANCIAL INTELLIGENCE UNIT (FIU) GOVT. OF INDIA:

Cash Transaction Reporting (CTR)

- The Company will report to Financial Intelligence Unit (FIU) all integrally related Cash transactions exceeding Rs. 10 Lakh in a calendar month by 15th of next month

Suspicious Transaction Reporting (STR)

- Suspicious transactions (including attempted transactions, whether or not made in cash and irrespective of value) are reported to FIU within 7 working days of identification

Counterfeit Currency Reporting

- Any receipt of counterfeit currency is reported to FIU by 15th of next month

Non-profit organization Reporting

- Any transaction involving receipt by Non profit organization exceeding Rs. 10 lakhs shall be reported to FIU by 15th of next month

Record Retention Requirements

- The Company is required to maintain records of identity of customers, settlements by claim, maturity, surrender or cancellation and cash transactions for a period of 5 years after business relationship has ended
- All reports filed with FIU need to be maintained for a period of 5 years from the date of transaction or date of closure of investigations, whichever is later

Summary

YOUR ROLES & RESPONSIBILITIES

Know and understand our policies and apply them to ensure compliance

Complete annual AML training as mandated by the Company

Know your customer – Verify identity, source of funds and collect necessary documentary proofs

Never ignore inconsistent, improper or unusual activities including those that lack business sense

If you believe that customer behavior or a transaction is suspicious, you must report the same to your Company Supervisor or to the Principal Officer

You play an important role in detecting and preventing money laundering activities!



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Thank You